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Insights

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Prime Trust

As adoption of digital assets accelerates, companies are investing in innovative products and services.

Cryptocurrency fuels new business opportunities



Cryptocurrency is fast gaining mainstream acceptance as consumers look for innovative ways to diversify their savings, protect against inflation, and save on transaction fees.

Big-name brands are taking note: PayPal, Starbucks, AT&T, AMC Theatres, Microsoft, and Whole Foods are among a growing battalion of organizations that now accept payment in cryptocurrencies. In fact, nearly 16,000 venues around the world accept cryptocurrency payments, according to Coinmap.org. And the cryptocurrency market is expected to grow from $1.6 billion in 2021 to $2.2 billion by 2026, according to a report published by MarketsandMarkets.

At the same time, cryptocurrency presents an opportunity for companies to create new and innovative offerings around these digital assets. Examples range from mobile apps that allow consumers to get started with cryptocurrency quickly and easily to platforms that automate bitcoin purchasing for fledgling investors.

But while staking a claim in today's cryptocurrency market can drive customer engagement and competitive wins, the right set of tools and talent are required to hurdle obstacles that include consumer fears, technology headaches, and compliance concerns.

Crypto market demand

Consumer demand isn't the only driver of enterprise cryptocurrency adoptions. Digital assets such as bitcoin, ethereum, solana, and avalanche, are based on a distributed ledger called blockchain. This decentralized approach means data is stored in an individual's crypto wallet rather than in a centralized depository where data breaches can occur.

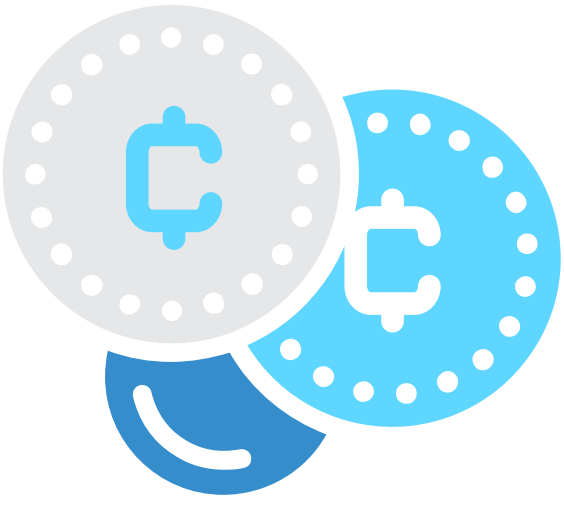
Key takeaways

1. Nearly 16,000 venues around the world accept cryptocurrency payments today, including such big-name brands as PayPal, Starbucks, AT&T, AMC Theatres, Microsoft, and Whole Foods.
2. Business benefits are driving cryptocurrency adoption. Cryptocurrency drives new customer engagement; provides a faster, more secure payment experience; and lowers or eliminates transaction fees for customers and merchants. New revenue avenues also open new pathways for innovation.
3. While US President Joe Biden issued an Executive Order that aims to regulate an industry that now includes **18,142 cryptocurrencies** and 460 crypto-exchanges, it also serves as a beacon to help legitimize cryptocurrency as a prime economic force.

A blockchain general ledger is used to verify and record every transaction, making cryptocurrency transactions not only more secure than credit and debit card payments, but faster by eliminating the need for time-consuming third-party verification. "We've seen increasing demand from merchants – from supermarkets to fast-food chains – that want to accept crypto because it truly is a win-win for consumers and merchants," says Sara Xi, chief product officer at Prime Trust, a fintech infrastructure provider with API crypto integration.

The cryptocurrency market is expected to grow from $1.6 billion in 2021 to $2.2 billion by 2026.

Source: MarketsandMarkets



Lower transaction fees are another advantage of cryptocurrencies. "Crypto really needs to be adopted just like any other fiat payment rail. When consumers pay for stuff, they can simply pay with crypto and bypass conversion to a fiat currency as an intermediary," says Xi. "Credit card processing fees will be irrelevant for merchants or consumers."

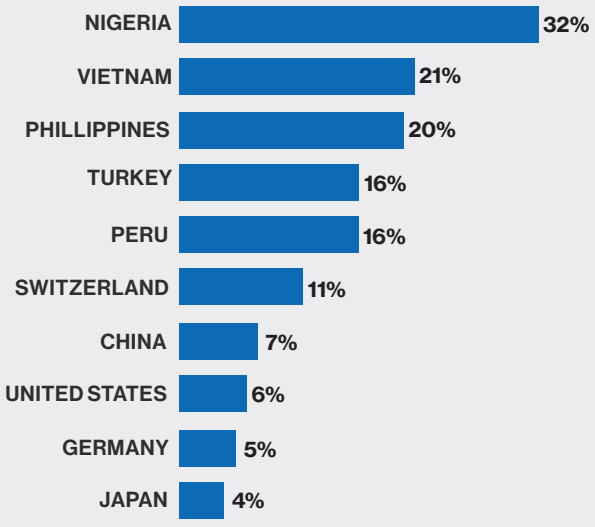
In addition to cost savings, cryptocurrency is enabling businesses to access new target demographics. Take, for example, The Pavilions Hotels & Resorts group, a Hong Kong-based hospitality group. The Pavilions is one of the first international hotel chains to embrace digital currency payments. Customers can book rooms in many of the hotel chain's global destinations, based on the currency and location they are situated in at the time of booking, using bitcoin, ethereum, or 40 other digital currencies.

According to Scot Toon, managing director of the Asia region of The Pavilions Hotels & Resorts, accepting cryptocurrency payments has helped The Pavilions Hotel Group to nurture lucrative crossover markets, such as luxury travelers who also happen to trade in cryptocurrency.

Joseph Lupo agrees. Lupo is a general manager with CoinBits, which helps businesses and investors securely build, manage, and protect their money in a private bitcoin portfolio. "We saw a demand for higher net-worth individuals and businesses who want to invest in this new asset class," says Lupo. "They need an on-ramp and someone they can trust since bitcoin doesn't have a team or headquarters, so we started Coinbits Reserve to help businesses and higher net worth individuals invest in bitcoin. We manage their investments but also focus on education and what this new form of digital, finite money can do for them."

How common is crypto?

Share of respondents in selected countries who said that they used or owned cryptocurrency (2020)



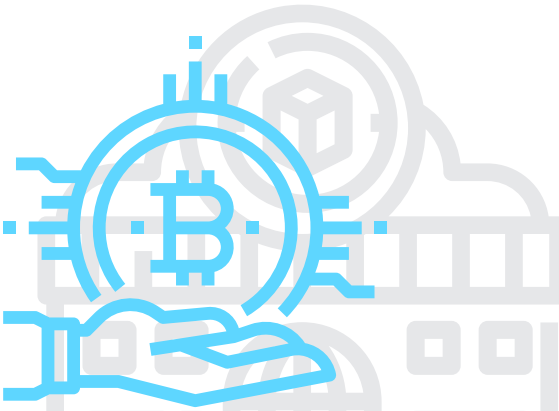
1,000-4,000 respondents per country
Source: Statista Global Consumer Survey

Crypto considerations

While companies ponder potential business models and use cases for cryptocurrency, there are factors to consider before entering the market. Cryptocurrency is still marked by volatility and wild price fluctuations. And security and regulation compliance concerns can slow adoption in more heavily regulated sectors, such as finance. "Banks are going back and forth on how they can get into crypto compliantly," says Xi of Prime Trust. "What's holding them back is that the regulations in this space require both crypto domain knowledge and compliance expertise to understand. Making it worse is that there haven't been clear regulations on what's compliant."

"We've seen increasing demand from merchants – from supermarkets to fast-food chains – that want to accept crypto because it truly is a win-win for consumers and merchants."

Sara Xi, chief product officer at Prime Trust



Key signs of growing acceptance

Although the notion of cryptocurrency dates back to the late 1980s, only recently have these digital assets entered the mainstream. Here are some of the recent developments that have grabbed headlines while helping cryptocurrency move from the fringes to the financial sector.

A Presidential nod

On March 9, 2022, President Joe Biden issued the "Executive Order on Ensuring Responsible Development of Digital Assets." This Executive Order outlines a national policy for digital assets across six key priorities: consumer and investor protection, financial stability, illicit finance, US leadership in the global financial system and economic competitiveness, financial inclusion, and responsible innovation. By addressing the potential security risks of cryptocurrency, as well as its potential benefits, the Executive Order marks a public acknowledgement of the importance of cryptocurrency markets and the industry as a whole.

Big kid on the block

The Blockchain Association, a member-led industry association for the crypto industry, has been a big player in Washington, DC, since its establishment in 2018. Comprised of some of the most influential crypto companies, including Chainalysis and Foundry Digital, the Block Association's mandate is to improve the public policy environment and institutional trust for crypto networks through educational efforts, meaningful dialogue, and collaborative initiatives with policymakers.

A country's currency

In June 2021, El Salvador became the world's first country to adopt bitcoin as its official currency, enabling citizens to purchase goods and services throughout the country with the well-known cryptocurrency. However, the country's embrace of bitcoin has courted controversy. The World Bank refused to help the Salvadorian government in implementing the new system. And Bloomberg reports that the nation has lost about $40 million with crypto since September. Nevertheless, El Salvadorian president Nayib Bukele has recently unveiled plans to build a cryptocurrency-funded city, dubbed Bitcoin City, on the side of a volcano in the south of the country.

Morgan Stanley joins the fray

In early 2021, CNBC reported that Morgan Stanley had become the first big US bank to offer its clients access to bitcoin funds. The article states that the investment bank launched access to three funds that allow ownership of bitcoin in response to increasing client demand. Morgan Stanley's decision marks a significant step toward digital assets becoming more widely used as currency.



Also pressing is the need for IT infrastructure to evolve to integrate cryptocurrencies. For example, The Pavilions Hotel relies on a legacy booking engine for guests to reserve a hotel room online. However, Toon says the system was unable to accept cryptocurrency payments. The company searched for an alternative, but in the end, Toon says, the hotel chain wasn't "able to find a suitable vendor that was willing to allow us to put cryptocurrency through the booking engine."

As a result, rather than book online, The Pavilions' crypto-paying guests must make a direct booking through the company's reservations center. Following a call, an agent delivers an email containing a link that guests click on or scan to complete a cryptocurrency payment. It's an extra step that Toon says can "slow down the process. People want to book now – they don't want to talk to anyone or email anyone. They just want to make the reservation themselves."

As cryptocurrencies gain mainstream acceptance, Xi says businesses will increasingly seek out agnostic IT infrastructure that allows for easy integration with a wide array of features and solutions. Otherwise, she notes, "it can become overwhelming and cost prohibitive to deal with multiple vendor integrations."

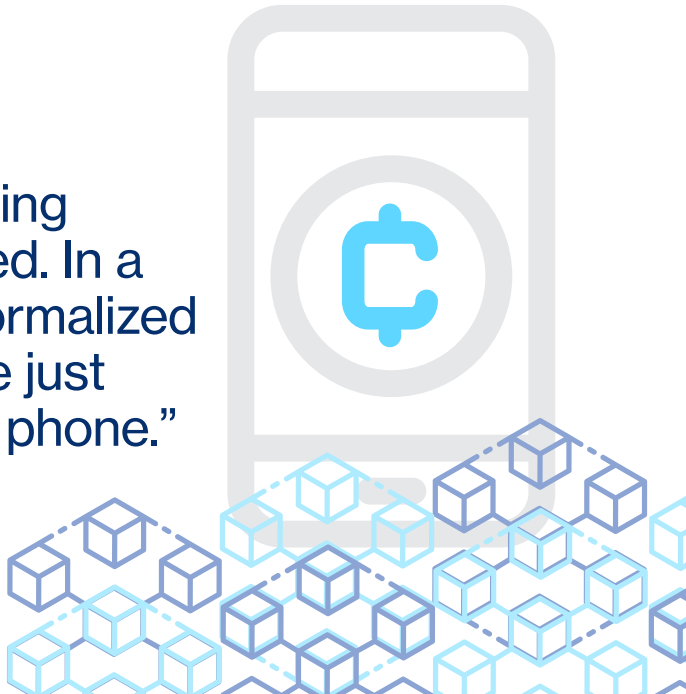
Another challenge facing organizations entering the cryptocurrency market is a scarcity of qualified talent – a key component in developing innovative products and services. "We all know that engineering and product talent in crypto is extremely hard to come by these days," says Xi. Which, she says, can lead to one of two unfavorable outcomes: either "huge costs upfront to staff in-house teams," or alternatively, if a company chooses to scrape by on a modest-sized team, "a really long time to go to market and a missed opportunity" to gain a competitive edge.

Headlines highlighting the volatility of cryptocurrency and high-profile heists also contribute significantly to consumer confusion around the security and reliability of digital assets. "Education is the biggest challenge," says Cory Klippsten, CEO of SwanBitcoin.com, a platform that helps automate purchasing bitcoin from a consumer's bank account. "It would be hard enough to understand if we were the only player in the space, but there are 10,000 other cryptocurrencies." Given this challenging landscape, Klippsten says many businesses built around cryptocurrency face added pressure to "be that rock and solid voice that explains what bitcoin is" and "have a rational voice about bitcoin."

Crypto's way forward

Even in the face of formidable challenges, recent developments indicate now is the time for organizations to carve a slice of the cryptocurrency market. Earlier this year, US President Joe Biden issued an Executive Order calling for a close examination of digital assets, including cryptocurrencies, to determine their risks and potential benefits, as well as their underlying technology. The order encompasses six key priorities: consumer and investor protection, financial stability, illicit finance, US leadership in the global financial systems and economic competitiveness, financial inclusion, and responsible innovation.

But while Biden's Executive Order aims to regulate an industry that now includes 18,142 cryptocurrencies and 460 crypto-exchanges, in many ways it also helps to legitimize cryptocurrency as a prime economic force rather than simply a buzz-worthy trend.



"Cryptocurrency is already becoming strongly and more widely accepted. In a matter of time, it will become a normalized currency. The crypto wallet will be just another form of payment on your phone."

Scot Toon, managing director of the Asia region of The Pavilions Hotels & Resorts

As a result, many organizations are adopting key strategies to derive real business value from cryptocurrency. This begins with establishing a set of best practices. At The Pavilions Hotels & Resorts, Toon says it's important to have fraud protections in place. For example, he explains, "People could book a hotel room using cryptocurrency, cancel it, and then ask for their money back in cash or for it to be sent to another bank account." To limit the risk of fraud, he says, "We had to put some rules and restrictions around booking for security and money laundering reasons." Currently, cryptocurrency payments at The Pavilions Hotels are non-refundable, and are not available for secondary purchases such as food and beverages.

To better enforce these rules and regulations, Toon says The Pavilions Hotels "retrained both front-of-house staff and the reservations team on why we don't allow refunds, even if someone comes to the check-in desk and asks." Brief online training sessions are followed by a questionnaire to ensure employees fully understand the importance of these restrictions.

Partnering with a vendor can also help businesses surmount cryptocurrency obstacles. Chief among these advantages is instant access to hard-to-find talent. "It's very costly to have crypto and blockchain expertise in-house," says Xi of Prime Trust. Third-party providers can provide businesses with access to experts with both technical prowess and years of experience.

"We know where companies failed with cryptocurrency, and we have an evolving list of best practices. So, in addition to our suite of API products, we can act as an advisor to businesses that want to get into crypto on what they need to consider before launching," says Xi.

Relying on a third party to provide the necessary IT infrastructure to support cryptocurrency can also drive innovation and accelerate product lifecycles, enabling businesses to get their products and services to market faster and more efficiently. "Having a really robust set of APIs available for us to build on top of has been crucial to our growth and success over the last couple of years," says Klippsten.

Third-party service providers can also assist with security and compliance safeguards. Properly protecting digital assets from criminal activity, and meeting the most

Cryptocurrency by the numbers

300 million
NUMBER OF CRYPTO USERS WORLDWIDE

19 million
NUMBER OF BITCOINS IN CIRCULATION WORLDWIDE

$23.3 billion
ANTICIPATED VALUE OF GLOBAL BLOCKCHAIN MARKET BY 2023

10,000
COST OF THE FIRST REAL-LIFE BITCOIN PURCHASE OF TWO PIZZAS

28,866
NUMBER OF SOCIAL MEDIA POSTS ON BITCOIN POSTED DAILY

14,915
NUMBER OF BITCOIN AUTOMATED TELLER MACHINES AS OF JANUARY 2021

327
AVERAGE PERCENTAGE OF ROI REALIZED AMONG MERCHANTS WHO ACCEPT CRYPTO PAYMENTS

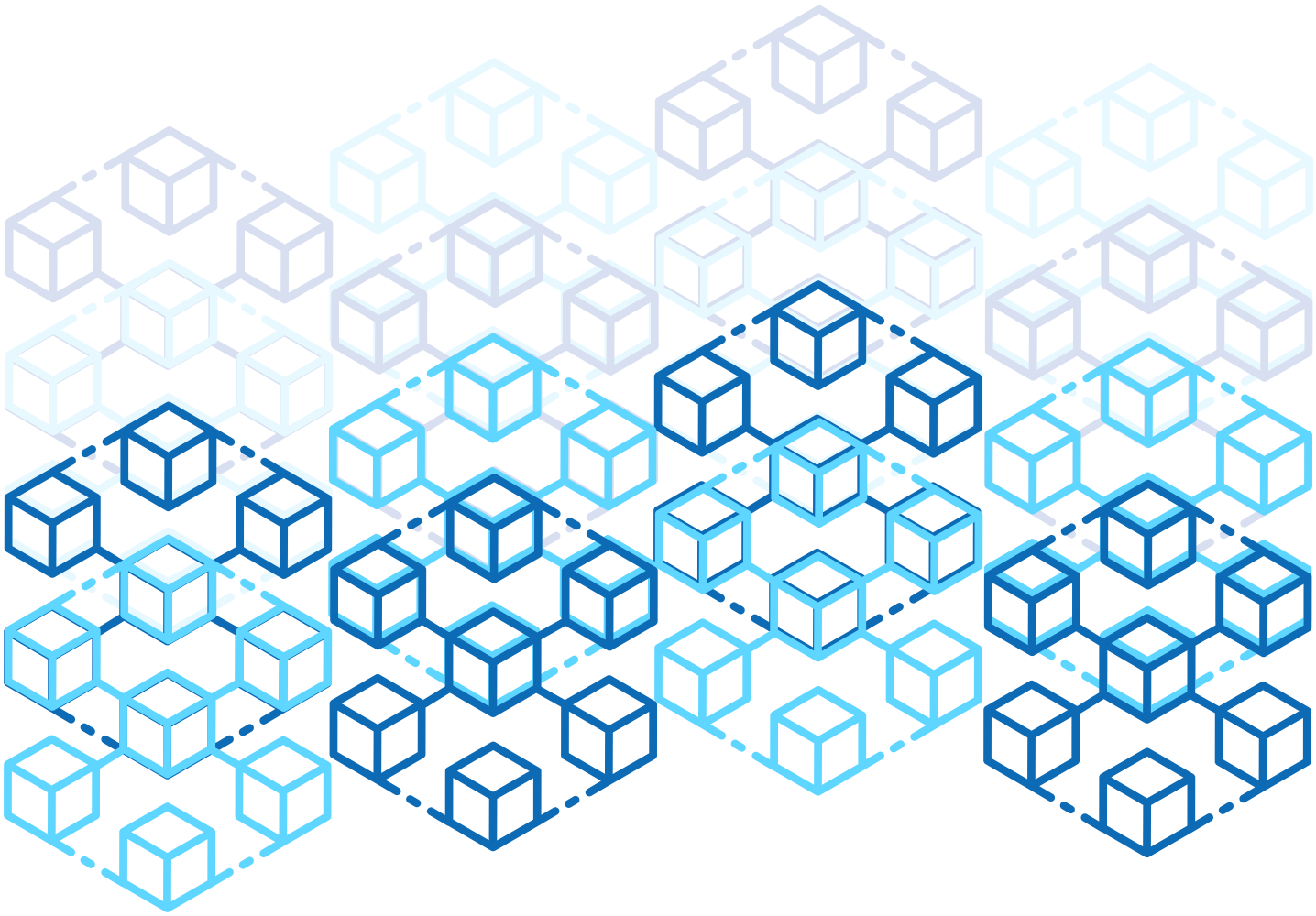
Source: Triple A, Techjury

up-to-date compliance standards, are time-consuming tasks that can take in-house teams away from core competencies. “You probably don’t want to tackle the compliance piece on your own,” says Xi. “Companies would be wise to outsource that function and responsibility to a vendor so they can focus on getting customers in the door. That’s a much more efficient way to launch a crypto business – leave the compliance piece to someone who’s been doing this for a while.”

In the case of SwanBitcoin.com, Klippsten says, “We prefer to focus exclusively on acquiring new users and serving them. We didn’t want to have all of the overhead and complexity that comes with compliance.” By engaging a service provider, he explains, “We’re able to focus on what we do best, which is educating and servicing people. What’s more, not having to do all the rest makes us a much more focused company.”

Crypto’s future

Although credit card and debit payments comprise the vast majority of payment transactions at The Pavilions Hotels & Resorts, Toon believes that “cryptocurrency is already becoming strongly and more widely accepted.” In fact, he predicts, “in a matter of time, it will become a normalized currency. The crypto wallet will be just another form of payment on your phone.”



"Cryptocurrency fuels new business opportunities" is an executive briefing paper by MIT Technology Review Insights. We would like to thank all participants as well as the sponsor, Prime Trust. MIT Technology Review Insights has collected and reported on all findings contained in this paper independently, regardless of participation or sponsorship. Jason Sparapani and Laurel Ruma were the editors of this report, and Nicola Crepaldi was the publisher.

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Prime Trust powers innovation in the digital economy by providing fintech and digital asset innovators with financial infrastructure. Through a full suite of APIs, we help clients build seamlessly, launch quickly, and scale securely. Regulated by the State of Nevada, Prime Trust processes hundreds of millions of API calls and settles billions of dollars of transactions per month. Prime Trust's team has extensive regulatory and financial services backgrounds from the OCC, SEC, Federal Reserve, US Department of Justice, US Treasury/Secret Service, JPMorgan Chase, Green Dot, American Express, PNC, Bank of America, and Visa. The company is recognized by Forbes as America's Best Startup Employer 2022 and is also Great Place to Work-Certified™ 2022. Prime Trust has also been named to CB Insights Blockchain 50 for 2022. Visit us at www.primetrust.com and connect with us on **LinkedIn**, **Twitter**, and **Facebook**.

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